Till 1960, the commission also suggested the grants given to the States of Assam, Bihar, Odisha and West Bengal in lieu of assignment of any share of the net proceeds in each year of export duty on jute and jute products. These grants were to be given for a temporary period of ten years from the commencement of the Constitution.

The commission submits its report to the President. He/she lays it before both the Houses of Parliament along with an explanatory memorandum as to the action taken on its recommendations.

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It must be clarified here that the recommendations made by the Finance Commission are only of advisory nature and hence, not binding on the government. It is up to the Union government to implement its recommendations on granting money to the states.

To put it in other words, 'It is nowhere laid down in the Constitution that the recommendations of the commission shall be binding upon the Government of India or that it would give rise to a legal right in favour of the beneficiary states to receive the money recommended to be offered to them by the Commission'[3].

As rightly observed by Dr. P.V. Rajamannar, the Chairman of the Fourth Finance Commission, "Since the Finance Commission is a constitutional body expected to be quasi-judicial, its recommendations should not be turned down by the Government of India unless there are very compelling reasons".

The constitution of India envisages the Finance commission as the balancing wheel of fiscal federalism in India. However, till 2014, its role in the Centre–state fiscal relations was undermined by the erstwhile Planning Commission, a non-constitutional and a non-statutory body. The Dr. P.V. Rajamannar also observed that there was an overlapping of functions and responsibilities between the Finance Commission and the erstwhile Planning Commission in federal fiscal transfers.[4] In 2015, the Planning Commission was replaced by a new body called NITI Aayog (National Institution for Transforming India).

Table 46.1 Finance Commissions Appointed so far

Finance Commission	Chairman	Appointed in	Submitted Report in	Period of implementation of Report
First	K.C. Neogy	1951	1952	1952–57
Second	K. Santhanam	1956	1957	1957–62
Third	A.K. Chanda	1960	1961	1962–66
Fourth	Dr. P.V. Rajamannar	1964	1965	1966–69
Fifth	Mahavir Tyagi	1968	1969	1969–74